Monthly Operations Review

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Overview of the Analysis Process

I began the analysis by calculating the Net Profit for each branch using the formula: Total Sales minus Operating Cost. I then calculated the Profit Margin percentage to compare profitability across branches with different revenue levels. To better visualize performance differences, I created a bar chart comparing Net Profit across all branches. In addition, I analyzed customer feedback to evaluate operational quality and ranked each branch based on overall customer experience. Finally, I combined both financial and qualitative insights to recommend which branch should receive a performance bonus and which branch would benefit from a process improvement plan.

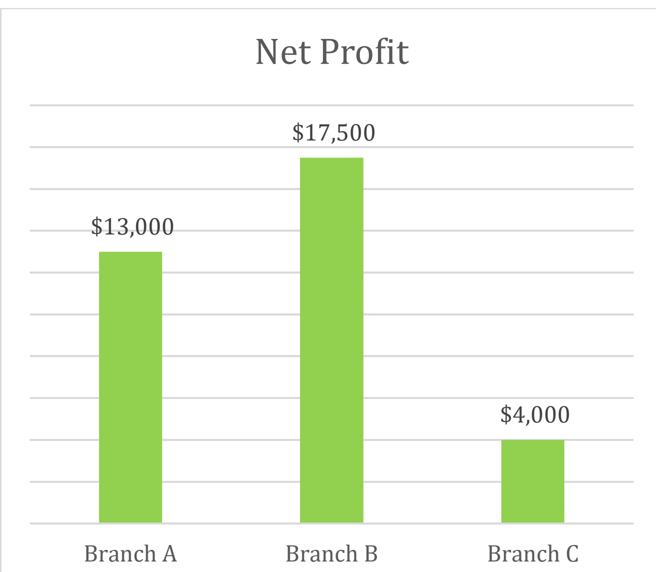
1. Profitability Analysis

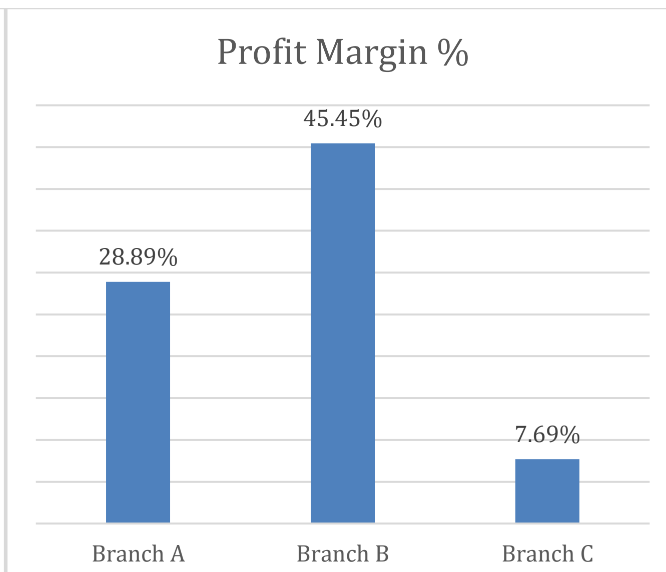
Branch	Total Sales	Operating Cost	Net Profit (TS-OC)	Profit Margin %
Branch A	$45,000	$32,000	$13,000	28.9%
Branch B	$38,500	$21,000	$17,500	45.5%
Branch C	$52,000	$48,000	$4,000	7.7%

Profit Margin Formula: Profit Margin % = (Net Profit / Total Sales) × 100

2. Financial Performance Comparison

Branch B had the highest net profit at $17,500, followed by Branch A at $13,000, while Branch C had the lowest net profit at $4,000.





3. Customer Sentiment Ranking

Rank	Branch	Justification
1	Branch B	Customers highlighted friendly staff and product availability, showing the strongest overall customer experience.
2	Branch A	Customers appreciated the service quality, but long queues negatively affected satisfaction.

3	Branch C	Complaints about expensive shipping and slow delivery indicate major customer experience issues.

4. Bonus & Improvement Recommendation

- **Branch B** should receive the Performance Bonus because it achieved the highest net profit and strongest profit margin while also receiving the most positive customer feedback.
- **Branch A** performed reasonably well financially, but operational improvements are needed to reduce customer wait times and improve efficiency.
- **Branch C** should receive a Process Improvement Plan because, despite having the highest sales revenue, its high operating costs and negative customer feedback significantly reduced profitability. Improving delivery speed and lowering shipping-related issues could help Branch C become more competitive and profitable.

5. Bonus Challenge – Branch C Cost Reduction

Current Operating Cost for Branch C = $48,000

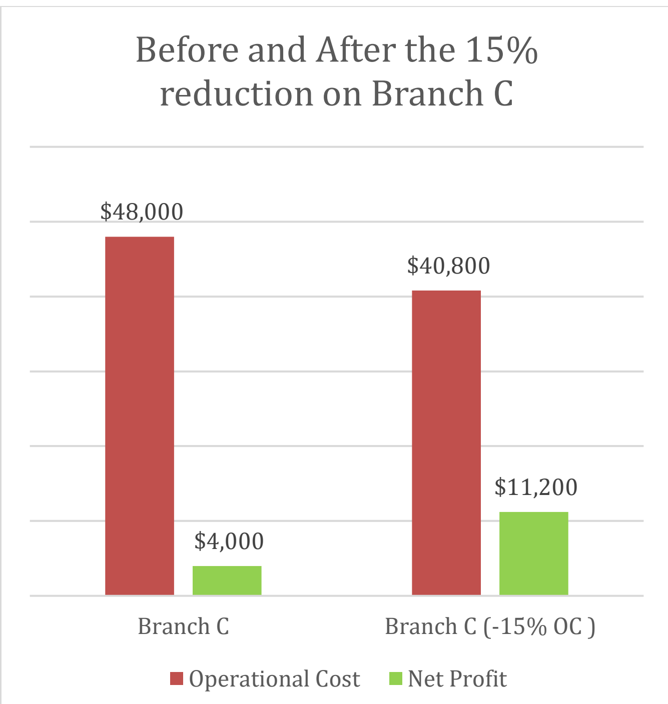
15% Cost Reduction: $48,000 × 0.15 = **$7,200**

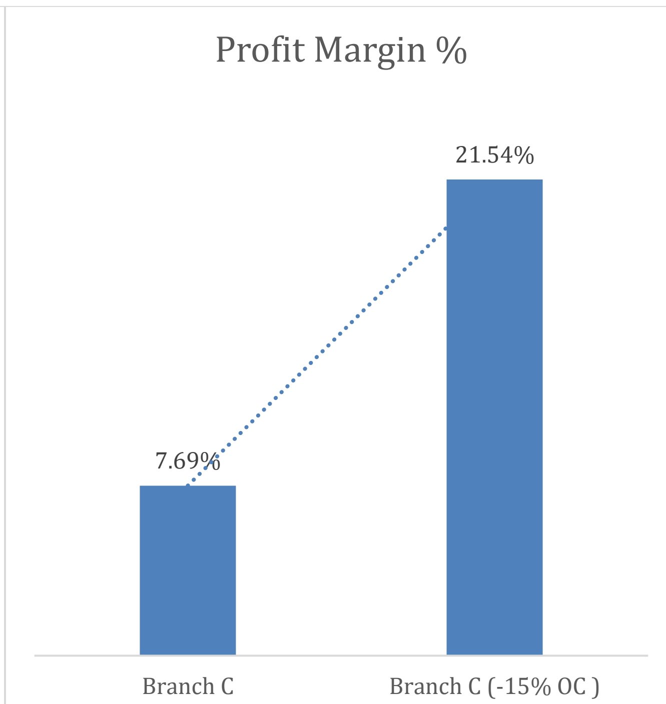
New Operating Cost: $48,000 – $7,200 = **$40,800**

New Net Profit: $52,000 – $40,800 = **$11,200**

New Profit Margin %: ($11,200 ÷ $52,000) × 100 = **21.5%**

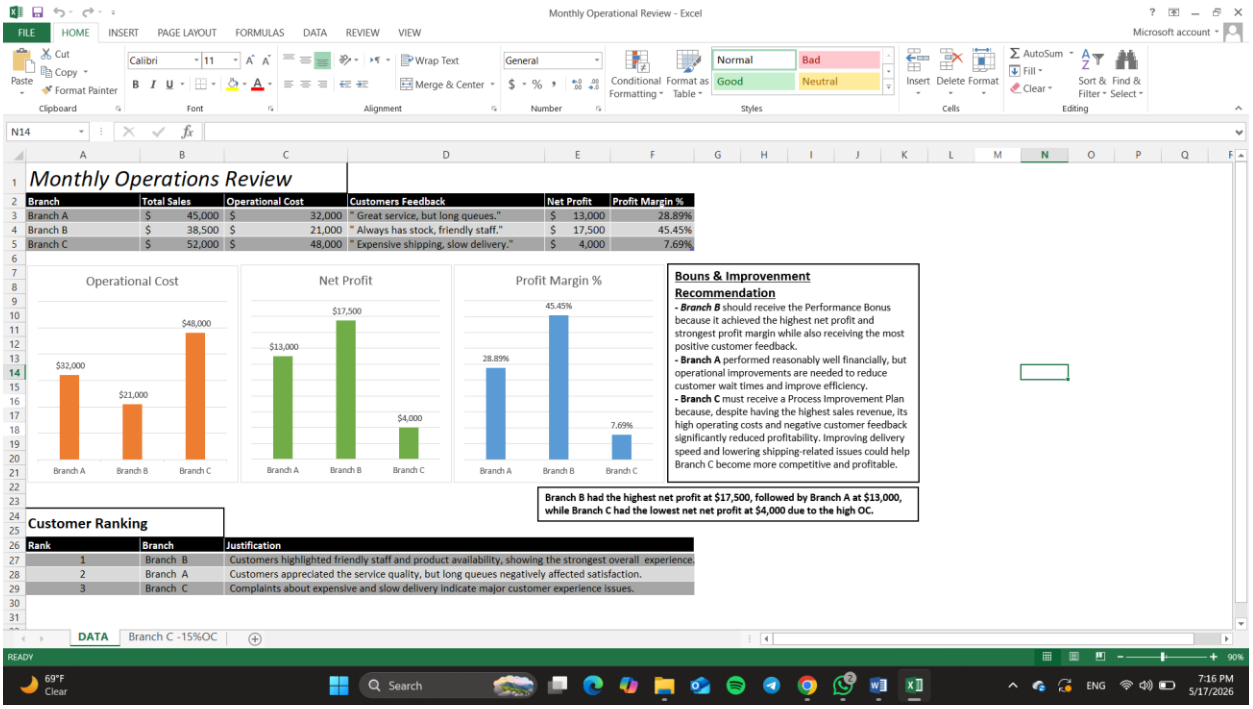
Reducing operating costs by 15% would significantly improve Branch C's profitability, increasing its profit margin from **7.7%** to **21.5%**, which translates to a **$7,200** increase in net profit.





6. Excel Worksheet

This Excel worksheet below presents a performance analysis of three store branches, including total sales, operating costs, net profit, profit margin, and customer feedback. The report evaluates overall branch performance, identifies operational strengths and weaknesses, and includes recommendations based on financial and customer satisfaction metrics.



This worksheet shows the financial impact of reducing Branch C's operating costs by 15%. The analysis compares the branch's original and adjusted performance, highlighting improvements in net profit and profit margin resulting from lower operational expenses.